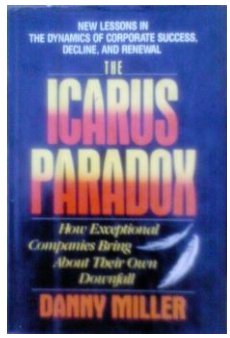
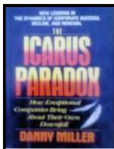


Icarus Paradox

Daedalus and Icarus (Greek Mythology)

- King Minos imprisoned Daedalus and his son, Icarus in a tower on Crete island.
- Daedalus, a talented craftsman, contrived to escape. He fabricated wings, with wax holding the feathers together.
- Icarus, exulting in his career, began to leave the guidance of his father and soar upward as if to reach heaven.
- The blazing sun softened the wax and the wings of Icarus came off.
- Icarus fell into the sea and drowned.

Frederic Leighton, “Daedalus and Icarus" (1869)



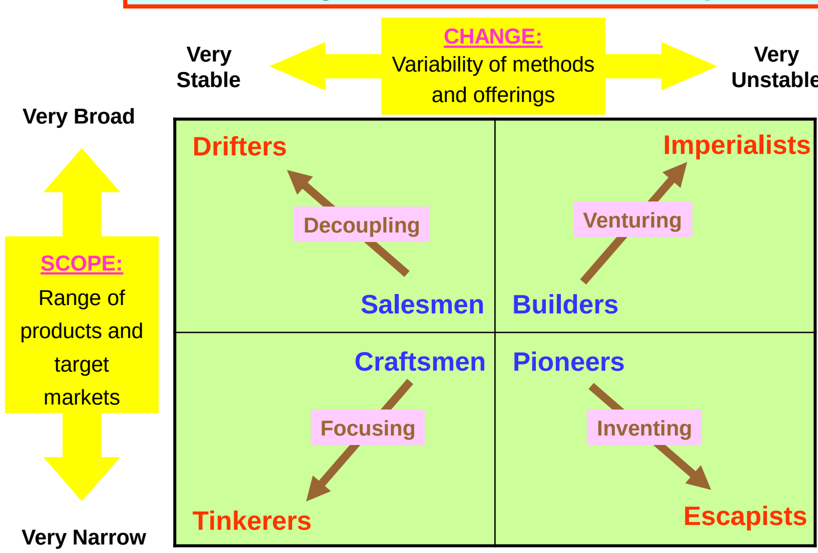
Icarus Paradox

His greatest asset led to his demise.

- Icarus paradox applies to many outstanding companies
- Their victories and their strengths so often seduce them into the excesses that cause their downfall.
- Success leads to
  - specialization and exaggeration,
  - confidence and complacency,
  - dogma and ritual.

Herbert Draper, "The Lament for Icarus" (1898)

The Configurations and The Trajectories



The Configurations and The Trajectories

Salesmen

Drifters

Chrysler
(Automobile)

Litton
Industries
(High Tech)

Builders

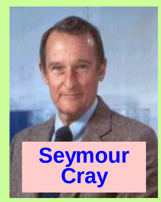
Imperialists

Craftsmen

Tinkerers

Digital
Equipment
Corporation
(Info Tech)

Control
Data
Corporation
(Super-
computers)



Pioneers

Escapists

Ken Olsen

Digital Equipment Corporation (Info Tech)

digital

THE FOCUSING TRAJECTORY	
CRAFTSMAN →	TINKERER

- DEC made the highest quality computers in the world.
- Founder Ken Olsen and his team of design engineers invented the minicomputer, a cheaper, more flexible alternative to mainframe computers.
- DEC's VAX series gave birth to an industry legend in reliability, and the profits poured in.
- DEC turned into an engineering monoculture. Its engineers became idols, while its marketers and accountants were barely tolerated.
- Technological fine-tuning became such an all-consuming obsession
- Customers' needs for smaller machines, more economical products, and more user-friendly systems were ignored.
- The DEC PC bombed because it was so out of sync with the preferences of potential users.
- Performance began to slip.

THE FOCUSING TRAJECTORY

CRAFTSMAN → **TINKERER**

Strategy Cost Leadership Quality Leadership Incremental Innovation Only Selective Marketing	→	Destructive Parsimony Irrelevant Quality Stale Product Lines Weak Marketing
Culture Quality, Engineering & Production-Driven Cohesive Clans	→	Intimidating, Controlling Leadership Insular, Monolithic Technocracy
Structure Tight Controls Focused Teams	→	Bureaucracy Over centralization

Success

Direction of momentum   Possible causal influence

THE VENTURING TRAJECTORY

BUILDER → **IMPERIALIST**

Charles Thornton

Litton Industries (High Tech)

Litton

- Charles "Tex" Thornton, a young Texas entrepreneur, expanded a tiny microwave company into Litton Industries, one of the most successful high technology conglomerates of the 1960s.
- Sales grew from $3 million to $1.8 billion in 12 years.
- By making selective and related acquisitions, Litton achieved an explosive rate of growth.
- Litton began to stray too far from familiar areas, buying larger and more troubled firms in industries it barely understood.
- Administrative officers and control systems became overtaxed, debt became unwieldy, and a wide range of problems sprang up in the proliferating divisions.
- The downward spiral at Litton was no less dramatic than its ascent.

THE VENTURING TRAJECTORY

BUILDER ⇨ **IMPERIALIST**

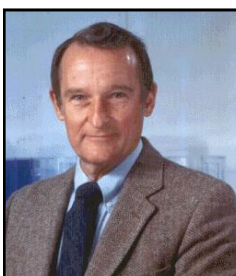
	BUILDER	IMPERIALIST
Strategy	Foundation Building Diversification	Over Expansion Hyper Diversification
Culture	Entrepreneurial CEOs Generalist, Growth-oriented	Grandiose, Reckless CEOs Chaos or Gamesmanship
Structure	Divisionalized Influential Planning & Finance Staff	Fragmented / Overburdened Ritualistic

Success

Direction of momentum — Possible causal influence

THE INVENTING TRAJECTORY

PIONEER ⇨ **ESCAPIST**



Seymour Cray

Control Data Corporation (Supercomputers)

CONTROL DATA

- By the mid-1960s, CDC of Minneapolis had become the paramount designer of supercomputers.
- Chief engineer Seymour Cray, the preeminent genius in a field of masters, had several times fulfilled his ambition to build the world's most powerful computer.
- Cray's state-of-the-art 6600 supercomputer was so advanced it caused wholesale firing at IBM, whose engineers had been taken completely off guard by CDC.
- CDC's early successes emboldened it to undertake new computer development projects that were increasingly futuristic, complex, and expensive.
- Substantial lead times, major investments, and high risks were entailed, and many bugs had to be purged from the systems.
- Long delays in delivery occurred and costs mushroomed. Science and invention triumphed over an understanding of competition, customers, and production and capital requirements.

THE INVENTING TRAJECTORY

PIONEER ⇒ **ESCAPIST**

Strategy

Routing Out New Niches Reaming Markets with New Technology Ramming Innovation Focused Marketing	Explosion of New Products Technological Overkill Extravagant Mega projects Myopic Marketing

Success

Culture

Visionary CEOs “R&D” Cultures	Blind Utopianism

Structure

Organic	Chaotic Think Tank

Direction of momentum — Possible causal influence

THE DECOUPLING TRAJECTORY

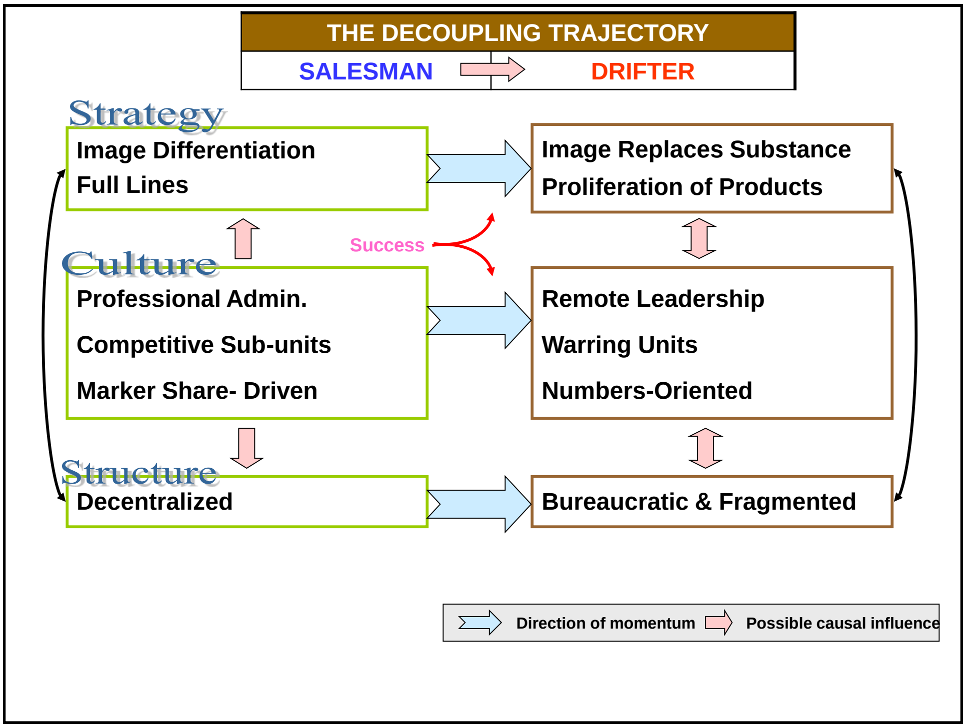
SALESMAN ⇒ **DRIFTER**

Lynn Townsend

Chrysler (Automobile)

CHRYSLER

- Lynn Townsend became president of Chrysler at the age of 42. He was known to be a financial wizard and a master marketer.
- He said: "Sales aren't just made; sales are pushed.”
- He conceived the five-year, 50,000-mile warranty.
- He made very few radical changes in Chrysler's products. Mostly he just marketed aggressively with forceful selling and promotion, and sporty styling.
- Chrysler's success with its image-over-substance strategy resulted in increasing neglect of engineering and production.
- It prompted a proliferation of new models that could capitalize on the marketing program. But this made operations very complex and uneconomical.
- It also contributed to remote management-by-numbers, bureaucracy, and turf battles. Soon strategies lost focus and direction, and profits began to plummet.



The FOUR Trajectories (of failure)

	FOCUSING	
	CRAFTSMAN →	TINKERER
Strategy	Quality Leadership	Technical Tinkering
Goals	Quality	Perfection
Culture	Engineering	Technocracy
Structure	Orderly	Rigid

Digital Equipment Corporation (Info Tech)

	VENTURING	
	BUILDER →	IMPERIALIST
Strategy	Building	Over expansion
Goals	Growth	Grandeur
Culture	Entrepreneurial	Gamesman
Structure	Divisionalized	Fractured

Litton Industries (High Tech)

The FOUR Trajectories (of failure)

	INVENTING	
	PIONEER →	ESCAPIST
Strategy	Innovation	Hitech Escapism
Goals	Science-for-Society	Technical Utopia
Culture	R&D	Think Tank
Structure	Organic	Chaotic

Control Data Corporation (Supercomputers)

	DECOUPLING	
	SALESMAN →	DRIFTER
Strategy	Brilliant Marketing	Bland Proliferation
Goals	Market Share	Quarterly Numbers
Culture	Organization Man	Insipid & political
Structure	Modestly Decentralized	Oppressively Bureaucratic

Chrysler

(Automobile)

Managing the Focusing Trajectory (Craftsman)

Problems

- ☹ **Intolerant leadership and monolithic cultures**
- ☹ **Centralized, over-bureaucratic structures**
- ☹ **Blindness to markets**
- ☹ **Narrow focus: destructive parsimony or irrelevant quality**
- ☹ **Outmoded product lines**
- ☹ **Lackluster marketing**

Actions

- **Open up cultures to new blood and different values**
- **Loosen structural strictures**
- **Scan markets and competition to increase scope**
- **Diversify out of stale areas**
- **Boost innovation**
- **Market more aggressively**

Managing the Venturing Trajectory (Builder)

Problems

- ☹ Few distinctive competences
- ☹ Overwhelmed, fragmented structures
- ☹ Over expansion
- ☹ Excessive diversification
- ☹ Overtaxing of resources

Actions

- Recruit talent in R&D, marketing, and production
- Establish coordination an control systems
- Sharpen focus and divest "dogs" (low market share & low growth)
- Crate strategic competence
- Revive core business

Managing the Inventing Trajectory (Pioneer)

Problems

- ☹ Blind utopian cultures and chaotic structures
- ☹ New product proliferation
- ☹ Irrelevant technology
- ☹ Extravagant mega projects
- ☹ Marketing myopia

Actions

- Empower & heed marketers, accountants and production people
- Establish coordinative devices and controls
- Tailor inventions to a well-defined market
- Broaden the market focus
- Market more aggressively
- Scale down mega projects and economize

Managing the Decoupling Trajectory (Salesman)

Problems

- Remote leadership
- Bland cultures
- Fragmented, politicized structures
- Image replaces substance – poor quality
- Antiquated product lines
- Proliferation of lines and loss of focus

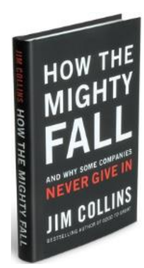
Actions

- Define overall strategy and set goals
- Push initiative to lower levels
- Improve coordination and control – without bureaucracy
- Improve quality
- Update lines and Focus lines
- Make marketing more responsive

Managerial Introspection

I. What kinds of customers do we prefer? Why?
II. What assumptions are we making about our customers and competitors? How have our views of clients changed in the last few years?
III. Which aspects of strategy have not changed in many years? Why?
IV. To whom do we pay the most attention, both inside and outside the organization? Whom do we ignore and why?
V. What are our most cherished goals and values? How have they evolved?
VI. Which of our strengths are declining? Which are on the rise?
VII. How will we find out if our strategies are wrong? How quickly?
VIII. Which departments and types of employees do we treasure and reward the most? Why?
IX. What biases might filter our views? Who might tell us about these biases?
X. How do others in the industry see us?

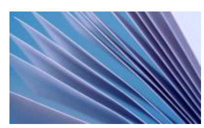
BusinessWeek, May 25, 2009



	Ames Department Store	Bank of America
Founded in	1958	1929
Era of Focus for Analysis of Decline	1980s-1990s	1970s-1980s
Primary Business	Discount retailing	Banking
Success Contrast	Wal-Mart	Wells Fargo
Example of "Fallen" Behavior	Bringing in an outsider who was interested in quick growth instead of appointing a successor from within who would have maintained focus on Ames' core values.	Removing responsibility for making loans from individual loan managers to committees, allowing mediocre performers to hide behind bureaucracy.
Result	After filing for bankruptcy more than once, the company announced it would close its last stores in 2002.	The concepts of responsibility and meritocracy were compromised, and the company lost many "good young people" who could have constituted the next generation of leaders.

	Circuit City	Hewlett-Packard
Founded in	1949 (as Wards Company)	1939
Era of Focus for Analysis of Decline	1990s-2000s	1990s-2000s
Primary Business	Electronics Retailer	Computers, Printers
Success Contrast	Best Buy	IBM
Example of "Fallen" Behavior	Not recognizing the potential for growth in its core business after concentrating on its CarMax and Divx businesses.	The 2002 $24 billion acquisition of Compaq computers, which the authors cite as an example of Stage 4 (Grasping for Salvation) behavior. While the move increased HP's market share, earnings became erratic.
Result	Filed for bankruptcy in 2008.	Carly Fiorina, the architect of the deal, was ousted as CEO. HP has since made a strong recovery under CEO Mark Hurd.

	Merck	Motorola
Founded in	1891	1928
Era of Focus for Analysis of Decline	1990s-2000s	1990s-2000s
Primary Business	Pharmaceuticals	Cell Phones
Success Contrast	Pfizer	Texas Instruments
Example of "Fallen" Behavior	Merck's pursuit of becoming a top-tier growth company and its reliance on blockbuster drug Vioxx allowed its purpose-driven philosophy to become of secondary importance.	In 1995, its StarTAC phone, used analog technology; wireless carriers wanted digital-technology based phones.
Result	When data showed that Vioxx might not be safe, it was voluntarily removed from the market, and $40 billion in shareholder value dissolved in six weeks.	Motorola post losses in 2007 to 2009. Divided into Motorola Solutions and Motorola Mobility (the latter acquired by Lenovo).



	Rubbermaid	Scott Paper
Founded in	1920 (as Wooster Rubber Company)	1879
Era of Focus for Analysis of Decline	1980s-1990s	1960s-1990s
Primary Business	Kitchen Utensils	Consumer paper products
Success Contrast	None qualified	Kimberly-Clark
Example of "Fallen" Behavior	Ambitious growth and new product introductions that made it vulnerable to rises in raw materials prices and problems filling orders on time.	When faced with increased competition from various companies, Scott spent five years reorganizing rather introducing new products of its own.
Result	Sold to Newell Corp. Oct. 21, 1998; company is now known as Newell Rubbermaid.	The company was sold to Kimberly-Clark in December 1995.

I've come to see institutional decline like a staged disease:

harder to detect but easier to cure in the early stages,

easier to detect but harder to cure in the later stages.

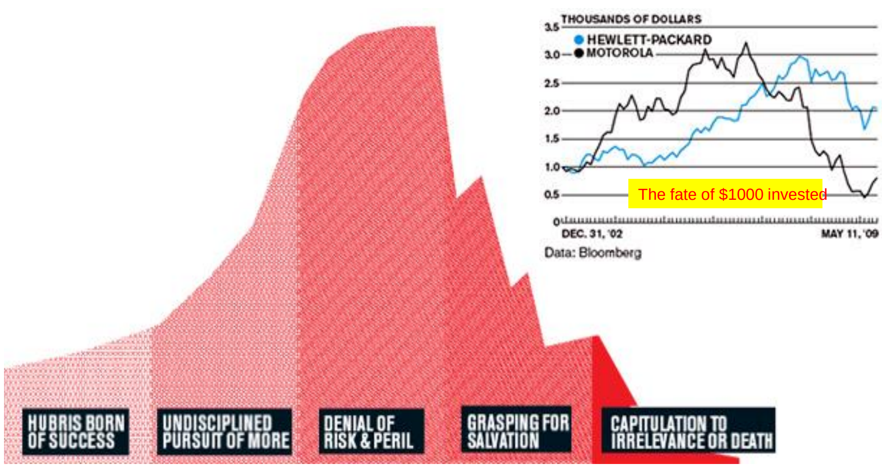
An institution can look strong on the outside

but already be sick on the inside,

dangerously on the cusp of a precipitous fall.

- Jim Collins

Great Companies Can Stumble, Badly, and Recover.

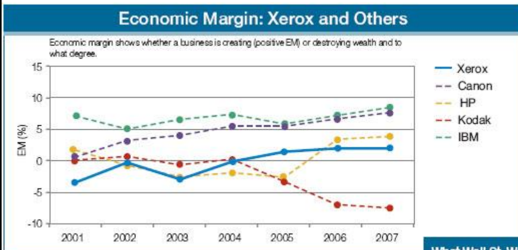


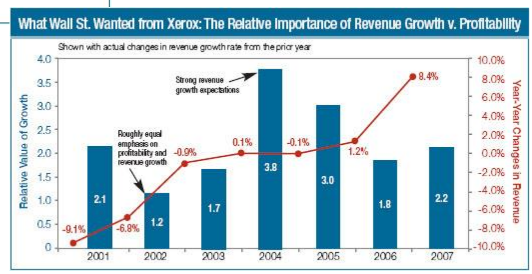
WELL-FOUNDED HOPE

Xerox. HP. Nucor. IBM. Merck. Texas Instruments. Pitney Bowes. Nordstrom. Disney . Boeing

What do these companies have in common?

Each took at least one tremendous fall at some point in its history and recovered.





Anne Mulcahy and XEROX Turnaround

Anne Mulcahy became CEO of Xerox in 2001
She inherited a company mired in Stage 4.

With Xerox's debt-to-equity ratio above 900%, Moody's rated its bonds as junk - $19 bn in debt and only $100 mn in cash.

2000 and 2001: Xerox posted $367 million in losses.

2006: Xerox posted profit of $1 bn + a strong balance sheet.

2008: Mulcahy, CEO of the Year by *Chief Executive* magazine.

She served Xerox for 34 years.

- Born: 1952
- 1974: Received B.A. in English and Journalism
- 1976: Joined Xerox as a field sales representative
- 1992-1995: VP (HR)
- 1997: Chief staff officer
- 1998: Corporate senior VP
- Served as VP and staff officer for Customer Operations, covering South America and Central America, Europe, Asia, Africa, and China
- 2001-2009: CEO
- 2002-2010: Chairman